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“The top priority should be to fill the gaps due to different interpretations of the same issue (provisions). We should fix the legislation first... It won’t serve the real purpose even if we have more judges”



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“The RBI’s Central Repository of Information on Large Credits (CRILC) is the best information utility we have in the financial services industry. We should tap into the infrastructure of CRILC for default data”

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DAIZY CHAWLA PHOTO BY **VISHAL GHAVRI**; **ABIZER DIWANJI** PHOTO BY **BANDEEP SINGH**

process under Section 7 of the IBC must be made if the corporate debtor is in default. The apex court said that the use of the word “may” instead of “shall” in Section 7(5)(a) suggests it is not a mandatory provision. In light of this, the adjudicating bodies will now have to consider the grounds presented by the corporate debtor against admission to the NCLT. “Now, it’s not only about proving a default but also the circumstances that led to the default,” says Saloni Kothari, Associate Partner at BDO.

However, earlier this year, the apex court, in the case of M. Suresh Kumar Reddy versus Canara Bank, ruled

that the NCLT had limited discretion to reject an application once a default has been established. The Supreme Court also often sets new precedents. For instance, in the State Tax Officer versus Rainbow Papers case, its order states that the IBC should not be the first resort and that the lender should try everything else to resolve the issue first. This has resulted in NCLT judges asking the parties to first try to resolve the matter, and if they can’t within three to six months, to come back to the tribunal. “There needs to be an automatic process in place. Once

A set of guidelines for the highest decision-making body, the Committee of Creditors (CoC), would help the process

▶ **The CoC should be supportive of the proposal for interim finance and take a prompt decision for its approval, when justified**

▶ **Members of the CoC must diligently examine and analyse the valuation reports and seek an audience with the valuation experts to provide input and clarify any doubts**

▶ **The CoC Must monitor the actions of the resolution professional and the justification of decisions/ measures taken by them**